

**Subject:** Article 56 - Prudent Investor Rule

**From:** Stephen Harrington <sth.alist@gmail.com>

**Date:** 4/28/24, 16:51

**To:** Greg Christiana <gchristiana@town.arlington.ma.us>

**CC:** Michael Cunningham <mcunningham@town.arlington.ma.us>, Jim Feeney <JFeeney@town.arlington.ma.us>

Dear Town Meeting Moderator Greg Christiana,

Please, forward my petition to the Town Meeting Members email list.

CC: Town Counsel Michael Cunningham, Town Manager Jim Feeney

tl;dr **Vote NO on Article 56 by supporting the Finance Committee recommended vote of NO Action.**

## Background

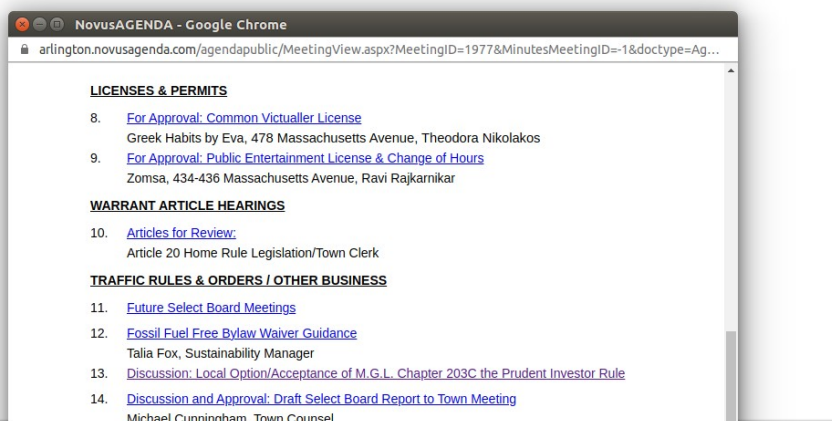
Article 56, adopting [M.G.L Chapter 203C the Prudent Investor Rule](#), is not what you think it is. Like a lot of legal language, the common use of the term **prudent** here has a specific and uncommon meaning dating back to Supreme Court Justice Brandeis in the 1920s.

I have attached the Treasurer's report from Rockland Trust detailing the trust fund balances, principal restrictions, fund performance and other investment management details. As of Sunday afternoon on 4/28, the materials attached here were not in novus agenda for either the FinCom 3/13 meeting nor the Board of Selectmen meetings on 3/4 and 4/8.



Town of Arlington, Massachusetts

Discussion: Local Option/Acceptance of M.G.L. Chapter 203C the Prudent Investor Rule



As well, the Trust Fund management reports are not available in the "annotated" Town Meeting agenda.

Vote Language:

Select Board Recommended Vote:

**That the Town does and hereby accepts the provisions of Massachusetts General Laws, Chapter 203C and authorizes the trustee of the town's previously established Trust Funds, as authorized by Chapter 32B, Section 20, G.L. c. 44, s. 54, and G.L. c. 44, ss. 55, 55A and 55B of the General Laws, as amended, to invest and reinvest the monies in such fund in accordance with the Prudent Investor Rule established under Chapter 203C of the Massachusetts General Laws.**

Finance Committee Recommended Vote:

That no action be taken under Article 56.

Additional Materials:

Select Board Report

Finance Committee Report

An informed Town Meeting member might note the 7.8% return of the Trust Funds in the latest Rockland report; not a bad return for adhering to the Legal List of boring investments. A reasonable return for Trust Funds, although the income generated does not satisfy the Library Trustees nor some of the other trustees as you will see. You may note that the Town Manager during his 4/8 Selectmen hearing did not understand that the 22 equities on the legal list, dividend paying (~3%) blue chip stocks, underperformed during the past year when compared to a 5.5% money market fund interest rate environment. Apparently, neither do the library trustees.

**Strike 0 The legal list provides the best possible prudent investment for Arlington Trust Funds that seek income today.**

## **Public Record**

At the 3/4 Board meeting where the unanimous vote for Article 56 was taken, the Town Manager is the sponsor and the Town Treasurer Julie Wyman is the presenter.

**Strike 1. Why are the various Trustees not the sponsors for Warrant Article 56?**

Note, that chair Eric Helmuth makes the comments "Sounds like a good rule.", "Well, who doesn't like prudent investments?", followed by John Hurd's "hopefully we're not imprudently investing our trust funds right now", which all employ the [common use of the word prudent](#).

Diane Mahon asks the pertinent question, the difference between the list of authorized investments today, the "narrow list", and what investments will be allowed under this rule; the "narrow list" is found on the state website ([List of Legal Investments](#)). Note how

conservative MGL defines legal investments for Trust Funds and other municipal funds.

Julie Wyman does address the change in more specific terms: "***library commissioners ... asking about a little bit more, a little more risk, you know, looking to bring in a little bit more, you know, a little bit more in their funds, seeing a little bit more revenue.***"

So the Prudent Investor Rule lets the "prudent investor" take more risk with trust funds. The first step a prudent investor must take is to define the investment objective (policy) for the Funds. In the case of Arlington Trust Funds, not all will have the same investment policy in terms of risk profile; certainly income generating investments compete with capital appreciating assets and the Trust Funds have restrictions that complicate a one-size fits all approach; except of course the default legal list option.

Currently, the \*implied\* investment objective for all Trust Funds is low risk. The legal list authorizes investments in cash, cash equivalents, money market funds, short term treasuries, blue chip **dividend paying** stocks, etc. These are considered the prudent investments for anyone who is not an investment professional. Taking more risk means changing the investment objective of the Trust Fund to a more risk tolerant profile.

Board of Commissioners of Trust Funds chair Augusta Haydock attended the April 8 Selectmen meeting, after the FinCom voted No Action on Article 56 until the Town creates an "Investment Policy" and implements "further oversight added".

### **Strike 2. Why were the other Trustees of Trust Funds (library trustees, cemetery commissioners) not on record for assuming greater risk?**

The Selectmen, Manager and Counsel all stated that adopting 203C does not necessarily imply that the Trustees (or Treasurer, or Rockland, or someone) would necessarily take more risk with assurances that such changes won't happen until after the FinCom's policy update and oversight is established. However, that contradicts Augusta Haydock's statement that he, as trustee, has wanted to take a higher level of risk, since at least the year 2020.

Arlington's position of Treasurer, as far as I can tell, is the \*custodian\* of the Trust Funds, and not the trustee, not the person(s) who must act as a "prudent investor".

### **Strike 3. The responsibility for being the "prudent investor" can not be delegated.**

Have any of you actually looked at MGL 203C? [Section 3 enumerates the duties of the trustees](#), which is fairly substantial, and much more than what is required today to be a trustee for Arlington's Trust Funds. Only fools would offer to take personal liability for \$28M in Trust Funds for little (\$5K) or nothing.

The [Board of Commissioners of Trust Funds website states](#) that the Cemetery Trusts and notably the Library Trust Fund are not under their purview, so not all trustees were

involved in supporting Article 56.

#### **Strike 4. Are *\*all\** Trustees aware (on record) of their responsibilities under adopting 203C?**

I could find none of the current Board Commissioners, the Treasurer, any other Town Meeting Member, nor any of the members of the Finance Committee nor any of the Library Trustees registered on [FINRA Brokercheck](#) suggesting none of them (you) have any experience as a prudent investor.

Arlington needs an investment committee to advise the Trustees, Treasurer and other non-investment professionals what actions to take and help establish proper oversight and investment policies. Larger funds engage firms like Cambridge Associates to advise on these duties as well as assist in manager selection.

#### **Rockland Trust**

Some might argue that Rockland Trust, an SEC registered investment advisor, manages the investment portfolio. [Navigate to Rockland Trust's government services page](#) and note:

*Rockland Trust's Government Banking department is dedicated to upholding our company motto of "Where Each Relationship Matters" by matching each public entity with the right solutions to meet their fiduciary responsibilities.*

"public entity" ... "fiduciary responsibilities"

The public entity fiduciary (trustee) agrees to a higher level of risk, Rockland Trust can dial any type of risk in an investment portfolio. The trustees decide that level of risk partly through their investment policies. Rockland Trust is not the prudent investor of Arlington's Trust Funds.

Adopting Article 56, while there is *\*no\** one in the loop who has operated as a prudent investor is a recipe for uncompensated risk and potential unnecessary, and completely avoidable, losses. As the Finance Committee repeatedly pointed out, there is no reason to rush this newly minted piece of state legislation.

#### **History**

Taking more risk in Trust Funds comes up from time to time, past Treasurers were pressured to operate under the prudent investor standard, apparently to no avail. I remember well, when some of the current Town Meeting members and Selectmen tried to pressure former Treasurer Steve Gilligan to take more risk in certain funds under his control.

This was in May of 2008.

If you don't know what happened next or you were one of the TMMs pushing for more risk in Town funds in May of 2008 (we have the Arlington List postings....) please, abstain from voting on Article 56.

In my experience in 3 decades as an investment manager, there is a simple litmus test to judge investment advice, ignore those who call for risk taking but have no personal liability.

I actually support having a better universe of investments to chose from, and someday Arlington should consider adopting 203C, but the current deficiencies does not support adoption of 203C at this time.

**Vote NO on Article 56, it is the prudent thing to do.**

Stephen Harrington

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Art56 transcript1.png

▼ [Article 56 Local Option/Acceptance of M.G.L Chapter 203C the Prudent Investor Rule](#)

▼ Eric Helmuth - 41

We have article 56, the local option acceptance of MGL chapter 203C, the prudent investor rule. Sounds like a good rule. Yeah. I mean, it sounds good in the face of it. It looks like that's the town treasurer again. Welcome.

▼ Julie Wayman - 125

Thank you. Julie Wayman, town treasurer. We are submitting this article in hopes to ask town meeting to support this change to how our trust funds are invested. So this has been something prior to my time that the board of commissioners of trust funds was very much interested in looking to broaden how our trust funds are invested. This is also something that the Mass Collector Treasure Association, the MCTA, was also asking the state to look into for a number of years. And so the state has now adopted this change. And so we are hoping that we'll get your support along with town meetings to look to be able to broaden how we are investing our trust funds. Thank you very much.

▼ Eric Helmuth - 45

All right. Now we will turn to the public for any comment on article 56. Raise your hand if you wish to comment. Seeing no hands raised. Seeing no hands in Zoom. All right. Well, who doesn't like prudent investments? Let's find out. Mr. Hurd.

▼ John Hurd and Julie Wayman - 18

I was going to say, hopefully we're not imprudently investing our trust funds right now. Move favorable action.

▼ Diane Mahon - 96

Second one question. Yes, ma'am. It's okay if you don't have an estimate, but do you have, in terms of the trust fund monies, approximately what that number is? Do you mean right now? Or do you mean if we were to change how we're investing? Both. Off the top of my head, no. Okay. I'll call you tomorrow. Okay. Call me tomorrow. On the day after. Sure. So, I'm definitely in favor of this. What is something that you could, what is the vehicle that you could use with this that you can't use now?

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Art 56 Transcript 2.png

## ▼ Julie Wayman - 238

So, right now, our monies are invested on what's called the legal list. So, it's a much more narrow list of funds. So, it really just doesn't allow for much risk, which is a good thing. But the prudent investor rule still requires you to keep in mind safety, liquidity, and yield. Right. We work with Rockland. They're who actually invests our funds through the trust funds. They, amongst other institutions, support this change as well. But they are still required to keep in mind what we have down in terms of investing policy. So, safety being the number one, safety of our funds. So, you know, it's, they do call it the prudent investor because you are supposed to still, you know, ensure that you are making prudent choices, but allowing for a little bit more flexibility. I mean, even the library commissioners have reached out to me, you know, within the first 30 days of me starting as treasurer to ask about how their funds were being invested and asking about a little bit more, a little more risk, you know, looking to bring in a little bit more, you know, a little bit more in their funds, seeing a little bit more revenue. So, it seems as though certainly I don't think we're going to go, we're not looking to make any crazy investments, but something to bring in potentially a little bit more risk.

## ▼ Len Diggins and Julie Wayman - 182

Yeah. I wasn't concerned about the safety. I was just wondering what the actual instruments were, are. I mean, I'll maybe have to look at the legislation myself because I know if some people, you say, you say like option already, I mean, they're scared. And if you say sell a short, a shorted option in order to scale into an instrument, they're like, you got to be crazy, but I often think that's the best way to like get into something is like, you know, you sell a short to put option. I'm sorry. I missed that. You sell a short to put option, you wait for it to come down, you know, you snag it at a lower price, but if it doesn't come down, you get to collect that premium, you know. Yes. I don't, I don't, I'm not, I don't think that we're going, we're going to be moving in that direction, but we will work with Rockland when we are, when we are moving. Okay. A little bit more. All right. All right. Yeah. Yes. Attorney Cohen.

## ▼ Michael Cunningham - 60

Thank you, Mr. Chair. I think that the answer to Mr. Diggins' question lies within section 54 of chapter 54. It talks about securities and other limitations and what it's going to permit trust funds where it can go. So that there are specific, I won't read all of it, but that what, it's in, it's in that particular statute.

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**Attachments:**

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| Art56 transcript1.png                                                                      | 184 KB |
| Art 56 Transcript 2.png                                                                    | 225 KB |
| Rockland Trust Fund. Prudent Investor Combined Meeting Reports<br>January - March 2024.pdf | 4.4 MB |